

paid functionaries decide who gets bread and who doesn't. These management systems divert further resources from actually providing food to paperwork and administration.

Soon, you will have lawyers and auditors on the case, too. And then you will eventually discover that every loaf of bread you distribute free costs you 10 times the previous cost of a loaf of bread. This means that you have destroyed resources equal to nine times the value of the loaf of bread itself in your effort to make the world a better place.

In fact, you have done bad.

The problem is simple enough. You can know if something has value only if it is allowed to trade in the free market, where willing buyers and sellers discover its value every day. Any attempt to give away something for free, or even subsidize it (to say nothing of controlling it in other ways) distorts the price. Now you don't know whether you are paying too much or too little. You don't know whether you are doing good or bad.

You think, for example, that the world is generating too much carbon dioxide. You subsidize a windmill. It generates electricity, but at twice the cost per kilowatt. Have you done good? What does it mean when you say "twice the cost"? Doesn't it mean that you actually use twice the resources? And doesn't that imply that you also use up twice as much energy? Someone had to make the steel to build your windmill. Someone had to put the parts on a truck to bring it to you. Someone had to drive out to install it and to service it. If the inputs cost twice as much as normal, you use twice as much energy to create it.

Prices, freely determined, are what tell you when something is worth doing and when it is not. They tell you how much both resources and energy cost.

Without freely set prices, you are wandering around in the dark. That is why so many charity efforts are hapless and vain. In fact, it wouldn't surprise us to discover that all the world improvement projects from the beginning of time to the present were a net drag on man's happiness.

It's a hard thing to believe. The world's smartest, richest, and most respected people are firmly behind charities. Bill Gates. Warren Buffett. Andrew Carnegie. The Rockefellers. How dare we contradict them?